

antha Nageswaran recently informed the Parliamentary Standing Committee on Finance.

According to RBI estimates, if crude oil prices are higher by 10% than the baseline, and assuming full pass-through, inflation could rise by 30 basis points and growth dip by about 15 basis points. For now, there are no plans to hike fuel prices, which observers note could also be due to the upcoming assembly elections in five states. LPG prices have been hiked by ₹60 for a 14.2-kg cylinder. Then, on March 21, oil companies raised the price of industrial diesel by 25% and of premium petrol by ₹2 per litre.

Exporters are also bearing the brunt of the closure of the Strait of Hormuz. Shipments of items ranging from basmati rice, fruits and vegetables to textiles and diamonds are either being sent back or getting stuck. The Department of Commerce on March 19 rolled out a ₹497 crore package for consignments to countries in the region.

POLICY PIVOT

Almost all experts agree that the crisis calls for a policy pivot by India to ensure greater energy security for a country that hopes to become developed over the next 20 years.

India's strategic petroleum reserves can last for about 74 days; about 5.33 million tonnes are held underground. The government has also approved two new strategic petroleum reserves at Chandikhol in Odisha and Padur in Karnataka. These are yet to become operational.

Ausaf Sayeed, former Secretary, Ministry of External Affairs and former Ambassador to Saudi Arabia, Yemen and High Commissioner to Seychelles, underlines the need to build strategic reserves and diversify oil supplies. "While we have diversified actively, making Russia our largest supplier and scaling up volumes from the US, Nigeria, West Africa, and Latin America, West Asia remains our primary source. Despite logistical and sanctions-related hurdles, Russian crude oil has served as an effective buffer, complemented by rising imports from Guyana, Nigeria, and other non-Hormuz routes," he says. He calls for accelerating the build-up of Strategic Petroleum Reserves. "Phase I facilities hold 5.33 MMT of crude, with the UAE already storing crude at Mangaluru and offering to expand its participation. Constructive engagement with Saudi Arabia for Phase II—envisaging an additional 6.5 MMT at Chandikhol, Odisha (4 MMT) and Padur (2.5 MMT)—must be fast-tracked," he says.

Equally critical is prioritising alternative connectivity corridors: reviving the India-Middle East-Europe Economic Corridor, completing the Chabahar-Zahedan rail link, and fully operationalising the International North-South Transport Corridor, he says.

Joshi of Crisil says India must work towards lowering energy dependence and improving energy security.

Sarraf underlines the need to invest more in oil exploration. "The government must improve policies to get more foreign expertise along with investment in the sector. We need more participation from foreign investors who are likely to have more capital and will undertake greater due diligence for potential oil and gas reserves." He, however, says that strategic petroleum reserves have a cost, which will ultimately have to be borne by the consumer. "Storage capacity can always be created. But holding stocks worth, say, 200 days, will involve capital expen-

THE MACRO FALLOUT

CRUDE OIL PRICE	GDP (%)	CPI INFLATION (%)	CAD (%)	FISCAL DEFICIT (%)
Up to \$90/barrel	7-7.4	-2	1-1.2	4.3-4.4
Above \$130/barrel for prolonged period	6.4	5.5	3.2	5.6

SOURCE: MINISTRY OF FINANCE

diture and inventory carrying costs, including the risks and rewards from oil price volatility. In a developed country, consumers can bear such costs, but in India, one must take price sensitivities into account," he says.

The Centre has implemented measures to increase domestic crude production such as permitting up to 100% foreign direct investment in exploration and production. It is also using enhanced oil recovery methods in aging fields. But the results are yet to be seen.

Expansion of pipeline and city gas distribution networks has increased the use of natural gas and focus on renewable energy and electric vehicles have to some extent reduced the consumption of petrol and diesel. There is also work underway to improve LNG stocks.

None of these measures will provide solutions in the short term but building domestic capabilities in the long term would, especially at a time when Aatmanirbhar Bharat has become a clarion call for becoming self-sufficient in manufacturing. Policy nimbleness and reforms undertaken last year to offset the 50% tariffs by the US are a clear example of that. **BT**

@surabhi_prasad